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Operating Asset Turnover Ratio

In the previous section, we looked at revenue from operations, how fast it grows and the various sources of revenue. Let us build on this and understand about revenue further.

1. Operating Asset Turnover

The first thing to analyse here is Operating Asset Turnover. Simply, Operating Assets Turnover is:

Revenue/Total operating assets

Total operating assets include both short-term as well as long-term assets. Essentially, this denotes the sales a company generates per every rupee of asset. If the asset size is 1 crore, an operating asset turnover ratio of 3.61 means that the company generates revenue of Rs.3.61 crores per Rs.1 crore of assets.



Asset Turnover

Asset needed by
the company

So, higher the asset turnover ratio, lower is the asset needed by the company. A lower volume of assets means the company will need lesser debt and equity, generating much better returns for both. This is because the company will be able to distribute the same profit over a lower number of shares, ensuring more profit for each shareholder.